

## Untitled School

5-Year Financial Overview for Board Review

Prepared March 27, 2026

 **Financial Outlook: The financial outlook needs attention in several areas.**

4 health dimensions are in good standing, 1 should be monitored, 2 need prompt attention.

### In This Report

1. Financial Overview & Key Metrics
2. 5-Year Projection
3. What to Watch (Top Risks)
4. Cash & Runway Position
5. Recommended Next Steps

This summary is generated from the school's financial model for board discussion purposes.

## Financial Outlook at a Glance

The financial outlook needs attention in several areas. 4 health dimensions are in good standing, 1 should be monitored, 2 need prompt attention.

 **Cash Position: Cash runway is approximately 1 months**

## Financial Overview

Your school projects \$0 in Year 5 revenue, with 4 of 9 key metrics that need attention. This is a starting point, and working through the recommendations below will help you build the financial story your mission deserves. The school has approximately 1 months of cash runway.

- [~] Lender Readiness: Not Yet Ready
- [~] Biggest Strength: Well-controlled staffing costs
- [~] Biggest Risk: No facility location secured yet, so facility costs are estimated
- [~] Cash Runway: 1 months

## School Overview

The school is a Startup / Pre-Opening organized as a with a funding profile.

## 5-Year Financial Projection

The model reaches break-even in Year 1. Year 5 net income is projected at \$0 (0.0% margin).

- [!] Revenue per Student (Year 1): \$0
- [+] Cost per Student (Year 1): \$0
- [+] Staffing Cost (% of Revenue): 0.0%
- [+] Operating Cost (% of Revenue): 0.0%
- [~] Profit margin (Year 1): 0.0%
- [!] Profit margin (Year 5): 0.0%

### 5-Year Net Income Projection

| Year   | Students | Revenue | Expenses | Net Income | Margin |
|--------|----------|---------|----------|------------|--------|
| Year 1 | 0        | \$0     | \$0      | \$0        | 0.0%   |
| Year 2 | 0        | \$0     | \$0      | \$0        | 0.0%   |
| Year 3 | 0        | \$0     | \$0      | \$0        | 0.0%   |
| Year 4 | 0        | \$0     | \$0      | \$0        | 0.0%   |
| Year 5 | 0        | \$0     | \$0      | \$0        | 0.0%   |

## Financial Health Assessment

Across 7 health dimensions: 4 healthy, 1 on watch, 2 at risk.

[-] viability: Watch closely  
 [-] liquidity: Needs attention  
 [+] staffing burden: Healthy  
 [+] facility burden: Healthy  
 [+] revenue concentration: Healthy  
 [+] days cash: Healthy

## Health Dimensions

| Dimension             | Status          | Details                                                                                                                                                                 |
|-----------------------|-----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Viability             | Watch closely   | The model reaches break-even by Year 1, but margins remain thin. A revenue shortfall could push it negative.                                                            |
| Liquidity             | Needs attention | Cash goes negative in month 1. The school will need outside funding to continue operating.                                                                              |
| Staffing Burden       | Healthy         | Staffing at 0% of revenue leaves room for facilities, programs, and reserves.                                                                                           |
| Facility Burden       | Healthy         | Facility costs at 0% of revenue are well-managed and leave budget for programs.                                                                                         |
| Revenue Concentration | Healthy         | Revenue is anchored to enrollment-driven income — the strongest foundation for a school model. A focused revenue stream is a strength when backed by dependable demand. |
| Days Cash             | Healthy         | 365 days of cash on hand exceeds the 90-day benchmark, providing a strong liquidity cushion.                                                                            |
| Reserve Strength      | Needs attention | Less than 1 month of reserves by Year 5. The school has no financial cushion.                                                                                           |

## Key Strengths

The model demonstrates 5 notable strengths.

[+] Cost per Student (Year 1): \$0  
 [+] Staffing Cost (% of Revenue): 0.0%  
 [+] Operating Cost (% of Revenue): 0.0%  
 [+] Days Cash on Hand (Year 1): 365 days

## What to Watch

The board should be aware of 2 key areas:

### 1. Cash runway is short

A short cash runway means you need revenue to arrive on schedule with no delays. Any hiccup — late tuition payments, delayed public funding, or unexpected costs — could create a cash crisis.

**Action:** Build a cash buffer through startup fundraising, a line of credit, or by reducing early expenses. Target at least 18 months of runway before opening.

### 2. Operating reserves are thin

Without adequate reserves, any unexpected cost or revenue dip could force emergency decisions — cutting programs, delaying payroll, or taking on expensive short-term debt.

**Action:** Look for ways to widen your surplus in the early years. Even small margin improvements compound into meaningful reserves by Year 3–4.

## Recommended Next Steps

### 1. Grow Your Per-Student Revenue

At \$0 per student, there's an opportunity to strengthen this number. Consider modest tuition adjustments, ESA/voucher programs in your state, or fee-based enrichment programs that add value for families.

Addressing this will materially improve financial position.

### 2. Grow Your Cash Reserve Over Time

By Year 5, your projected reserve covers 0.0 months of expenses. The goal is 3–6 months, and you'll get there by building surplus in your early profit years. Every month of reserve you add makes your school more resilient.

This strengthens the model and reduces future risk.

### 3. Secure Your Facility Location

Your model is based on an estimated facility budget. Once you have a signed lease or purchase agreement, update your model with actual numbers because real lease terms make your projections far more reliable.

Addressing this will materially improve financial position.